Currency also acts as a store of value. Large denomination notes are more amenable to shove under the mattress to hide ill-gotten money or make payments of unaccounted transactions. Paper currency notes are also prone to be counterfeited.

Digital payments have shown the way. Digital currency can do the rest of the work.

It's time for India to move on to digital currency.

Crypto-Blockchain Technology Options Not Best Choice for Digital Rupee

Digital payments are fast becoming commonplace in India. Yet, digital payments are not the same as digital currency. If cash or the Indian rupee can become digital and cash payments are made digitally, i.e., by exchange of digital notes, cash payments would also become digital and all payments will become digital. For this to happen, paper currency will have to get a makeover to digital currency.

There are two competing options for converting the rupee into digital currency. We could call it the crypto-rupee or, in the dematerialized form, the demat-rupee. The crypto-rupee also has two options: the wholesale crypto-rupee or retail crypto-rupee with some hybrids. The World Economic Forum published a Central Bank Digital Currency (CBDC) Policy-Maker Toolkit. The Indian rupee is a Central Bank Paper Currency (CBPC). The difference in CBPC and CBDC is that the currency is digital in the case of CBDC and it is physical in the case of CBPC.

The wholesale CBDC is meant for wholesale transactions and retail CBDC is designed for retail or common cash transactions. The wholesale CBDC is issued by the central banks to commercial banks and potentially other financial institutions, as proposed in the Toolkit, for use in interbank payments and securities transactions. The wholesale CBDC is primarily a currency of settlement and not for common use of cash as currency. In retail